



## **Qualification Programme Examination Panelist's Report**

### **Module 10 – Business and Company Law (June 2021 Session)**

*(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)*

#### **(I) Written Questions**

##### **General Comments**

This paper was three hours in duration and consisted of seven questions. The marks allocation among the nine major topics of this paper is as follows:

|                                  |     |
|----------------------------------|-----|
| 1. Company Law                   | 30% |
| 2. Law of Contract               | 15% |
| 3. Law of Tort and Negligence    | 15% |
| 4. The Hong Kong Legal System    | 10% |
| 5. Law for Public Companies      | 10% |
| 6. Law of Consumer Protection    | 5%  |
| 7. Law of Bribery and Corruption | 5%  |
| 8. Law of Employment             | 5%  |
| 9. Law of Agency                 | 5%  |

This paper was set on the entire topics prescribed by the syllabus of Module 10. The syllabus covers many important business and company law topics. The wide range of examinable topics could be one of the reasons for poor performance in the examination. It appears that weaker candidates did not have adequately prepared for all topics covered by the syllabus.

Candidates performed well on straightforward questions covering well-known law exam topics. This can be seen in Question 1 on the legal professions in Hong Kong as well as Questions 5 and 6 on the corporate legal personality and remedies for unfair prejudice and winding-up, respectively.

Candidates did fairly well on questions which required only factual and descriptive answers. Candidates performed well on Questions 1 and 7(b), (c), and (d) covering the Hong Kong legal professions, anti-corruption, employment, and agency laws, as these are straightforward and are common topics for examination.



Candidates were not well prepared for less common topics such as the steps for conversion from a private limited company to a public limited company under the company law, as seen in Question 3. Candidate performance was weaker in less common topics.

Some candidates were unable to provide a detailed elaboration on law concepts and apply them to specific scenarios in the analysis. This can be seen from Questions 2, 3, and 4. In Question 2, candidates were unable to discuss the nature of the terms (condition versus warranty) and the remedies (damages versus rescission) for breach of contract. In Question 3, many candidates wrote little or nothing for the steps for conversion from a private limited company to a public limited company under company law, while they provide a detailed discussion on the listing requirements under the Listing Rules, which did not relate to the issues of the question. In Question 4, candidates were able to identify the issues of negligent misstatement but were unable to apply the law of proximity to the issues of the question.

The time management of candidates was poor. Many candidates submitted answers that were short or incomplete. Candidates wrote very little or nothing for the final question where they may have run out of time or did not possess the necessary technical knowledge. Some answers suffered from incomplete formatting and were simply in bulleted form.

### **Specific Comments**

#### **Question 1 – 10 Marks**

This question was straightforward and required candidates to discuss legal professionals in Hong Kong. Candidates were able to discuss the differences between the practices of solicitors and barristers. Candidate performance was good in general.

#### **Question 2 – 15 Marks**

This question required candidates to discuss the nature of the terms and the remedies for breach of contract. Candidate performance was fair in part (a) and relatively weak in part (b). Some candidates were able to identify and discuss the nature of the terms and the remedies for breach of contract, while some were only able to discuss breach of contract in general. In addition, the answers were generally not well organised.

#### **Question 3 – 10 Marks**

This question required candidates to discuss the steps to convert a private limited company into a public limited company, with the question clearly indicating that a discussion of Listing Rules was not required. Candidate performance was poor in general. Candidates did not read the question carefully and thus they did not perform well on this question. Some candidates received low or no marks from this question. Candidates showed a lack of understanding of the steps for conversion from a private limited company to a public limited company under company law.



#### Question 4 – 15 Marks

This question required candidates to discuss negligent misstatement and the law of proximity as laid down in *Caparo Industries plc v Dickman* [1990]. Candidate performance was less than satisfactory. Candidates were able to identify and discuss the potential liability of the part-time lecturer for negligent misstatement in part (a) but were unable to apply the law of proximity to the issues of the question in part (b). Some answers lacked focus on the issue of proximity and failed to discuss the issues of proximity in a reasonable and logical manner. Law of negligent misstatement is a common law topic, yet candidates did not make good use of case law to support their arguments.

#### Question 5 – 15 Marks

This question required candidates to discuss unfair prejudicial remedies and grounds of winding-up. Candidate performance was average. Candidates were able to identify the issues of unfair prejudicial remedies and just and equitable winding-up. However, very few candidates were able to use case law to explain that unfairness and prejudicial conduct toward members must co-exist for part (a); and failed to explain the equitable principles for just and equitable winding-up for part (b).

#### Question 6 – 15 Marks

This question required candidates to discuss the principles of separate legal entity, limited liability, and its exceptions. These are largely governed by case law. Many candidates were able to identify and discuss that a company is treated as a separate legal person under the case *Salomon v A. Salomon Ltd.* [1897] for part (a). Candidate performance was good in general. However, some candidates were unable to explain the justifications for lifting the corporate veil by reference of case law in part (b).

#### Question 7 – 20 Marks

This question covered four parts and required candidates to discuss the issues of the laws of sale of goods, anti-corruption, employment and agency from a short case. Candidate performance was satisfactory. Candidates were able to identify and discuss the issues of parts (b), (c) and (d) of the question. However, candidate performance on part (a) was poor. The issue of part (a) was *nemo dat quod non habet*, which many candidates failed to identify, demonstrating inadequate preparation and understanding of this topic. Some candidates were only able to give very short or incomplete answers. This may have been due to poor time management, as candidates appeared to have run out of time for the final question of this paper.



## **(II) Conclusion and Recommendation**

The aim of this paper is to cover a wide range of business and company law topics in order to test the candidates' ability to apply their legal knowledge in specific situations. It is suggested that candidates should prepare themselves well for all topics in the syllabus.

It appears that candidates may not have had sufficient knowledge of all topics covered by the syllabus. Candidates were unable to respond to many of the questions in a reasonable and logical manner. This demonstrates a lack of preparation and understanding of all topics in the syllabus.

Some topics in the syllabus are governed by case law. Candidates are advised to make use of case law and/ or legislation to construct their analysis.

Candidates are reminded to read the questions carefully and to address only what is being asked but not what they want to answer.

Candidates are also advised to make a reasonable attempt to answer each part of the questions, and, in particular, to spare enough time to answer the final question.